FIGURE 20 – Asset Classes

US Large Cap	Stocks	S&P 500
US Small Cap	Stocks	French Fama Small Cap
Foreign Developed	Stocks	MSCI EAFE
Foreign Emerging	Stocks	MSCI EEM
Corporate Bonds	Stocks/Bonds	Dow Jones Corporate
T-Bills	Bonds	U.S. bills
10 Year Bonds	Bonds	U.S. 10-year bonds
30 Year Bonds	Bonds	U.S. 30-year bonds
10 Year Foreign Bonds	Bonds	Foreign 10-year bonds
TIPS	Real Assets	Barclays
Commodities	Real Assets	GSCI
Gold	Real Assets	GFD
REITs	Real Assets	NAREIT

Are there other asset classes? Of course. However, many asset classes (or sub-asset classes) do not have sufficient histories to analyze, such as emerging market bonds. For those unfamiliar, REITS are publicly traded real estate investment trusts, and TIPS are U.S. Treasury inflation protected bonds.

We also exclude active approaches to investing even though we discuss some of these "tilts" in other white papers and books like *Shareholder Yield*. So while an active strategy like managed futures is one of my favorite investment strategies, we don't include it in the building blocks section. (I like to call trendfollowing my "desert island" strategy if I had to pick one method to manage money for the rest of my life. While not the topic of this book, we have written a great deal about trend strategies on the blog as well as in the white paper "A Quantitative Approach to Tactical Asset Allocation.")

Figure 21 presents a chart of the asset classes we examine in the following chapters.